

INVESTMENT ANALYSIS

Meridian Digital Holdings (MDH)

Equity Research | HOLD — Accumulate on Weakness | Fair Value: \$364

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Investment Thesis Summary

RECOMMENDATION

HOLD

Accumulate Below \$380

DCF Fair Value: \$364 (-21%)

Mkt Cap

\$3.4T

Fwd P/E

28x

EBIT Margin

45%

FCFF Margin

31%

Core Thesis

- Dominant enterprise moat (400M+ users, >120% NRR) with cloud transition driving 70%+ recurring revenue
- Azure growing 22% with AI-first positioning, but growth tapering as base scales (\$80B+ segment)
- AI monetization through Copilot is real but early — base case conservatively models \$118B AI rev by FY2030
- Conservative DCF (8.5% WACC, 3.0% terminal g) produces \$364 fair value — stock priced for bull outcome
- Not a sell: exceptional quality justifies holding, but new capital should wait for pullbacks below \$380

Financial Performance (FY2022A–FY2030E)

	FY2022A	FY2024A	FY2025E	FY2026E	FY2028E	FY2030E	6Y CAGR
Revenue (\$B)	\$198	\$245	\$280	\$318	\$392	\$461	11.1%
EBIT (\$B)	\$80	\$106	\$125	\$145	\$189	\$229	13.7%
EBIT Margin	40.5%	43.4%	44.6%	45.7%	48.2%	49.8%	—
EPS	\$9.66	\$12.09	\$14.25	\$16.71	\$21.91	\$27.36	14.6%
FCFF (\$B)	\$49	\$77	\$75	\$87	\$125	\$168	13.8%
Capex/Rev	11.2%	14.3%	19.6%	20.1%	17.9%	13.5%	—

Key Observations

- Revenue CAGR of 11.1% driven by cloud acceleration — growth tapers to 7.8% by FY2030 reflecting maturation
- EBIT margin expands 40% → 50% on operating leverage; partially offset by AI R&D reinvestment
- FCFF dips FY2025-26 as capex peaks at ~20% of revenue (AI infrastructure buildout), then recovers strongly
- EPS CAGR of 14.6% supported by operating leverage AND \$25B annual share buyback program

Growth Drivers & Strategic Positioning



Azure Cloud

\$80B+ Rev | 22% Growth

#2 cloud platform gaining share. AI workloads = 40-50% of new capacity. Growth tapering as base scales, but still the primary value driver.



AI & Copilot

\$20B+ AI Rev | Early Innings

Largest enterprise AI monetization opportunity. Base case conservatively models <10% seat penetration. Upside here is the main option value the market is pricing.



Enterprise Moat

400M+ Users | >120% NRR

Integrated productivity/identity/security platform with highest switching costs in tech. Contract values growing 15-20% annually on AI upsells.



Gaming

\$25B Rev | 30M+ Subs

Major publisher acquisition transforming entertainment division. Game Pass subscription model drives recurring revenue. Cloud gaming upside.

DCF Valuation — Built From First Principles

FCFF = NOPAT + D&A + SBC – Capex – Δ WC | WACC = 8.5% | 6-Year Explicit Forecast

Bull Case

\$403

vs \$460: –12%

3.5% terminal g, \$178B FCFF

Probability: 25%

Base Case

\$359

vs \$460: –22%

3.0% terminal g, \$170B FCFF

Probability: 60%

Bear Case

\$317

vs \$460: –31%

2.5% terminal g, \$158B FCFF

Probability: 15%

Probability-Weighted Expected Value: \$364 (–21% vs. \$460)

All three scenarios produce values below the current price. The stock is priced for the bull outcome — attractive quality, but thin margin of safety at current levels.

See sensitivity tables in the Excel model for implied WACC at various terminal assumptions

What the Market Is Pricing In at \$460

To justify the current price on our DCF framework, at least one of these must hold:

Lower WACC (~7.0–7.5%)

Implies very low risk premium — plausible for a company of this quality, but leaves no buffer for macro uncertainty or rate volatility.

Higher terminal growth (3.5–4.0%)

Requires AI to sustain structural growth above GDP+ indefinitely. Plausible if Copilot becomes infrastructure, not just a product.

Faster AI monetization

15–20% enterprise seat penetration vs our 10% base case by FY2028. Would add \$15–25B annual revenue, closing much of the valuation gap.

Terminal EBIT margins >52%

Exceeds our ~50% forecast. Possible with software mix shift.

Key Insight: Each assumption is individually plausible, but the current price requires multiple favorable assumptions to compound. This creates downside asymmetry for new positions.

Environmental Analysis (PESTLE)

Political/Regulatory

MODERATE RISK

- FTC antitrust investigation: 15-25% probability of forced unbundling by 2027
- EU DMA compliance: \$100-200M annually
- AI regulation: MDH leads compliance — net positive positioning

Economic

LOW RISK

- IT budget growth recovering at 4-6% CAGR
- Cloud adoption mid-innings (~65% enterprise migration)
- FX headwind: 60% ex-US revenue, strong USD = 2-3% drag

Technology

MODERATE RISK

- Open-source AI closing gap → potential Copilot pricing pressure
- Enterprise features (compliance, security) defensible
- Quantum computing: early-stage option value

Social/ESG

FAVORABLE

- Carbon-negative by 2030 enhances ESG scores
- AI talent: \$300K+ comp, but strong employer brand
- Public perception as responsible AI leader

Risk Assessment

Risk Factor	Probability	Impact	Mitigation	Rating
Cloud price war	30%	High	Enterprise bundling premium	●●
AI commoditization	35%	Medium	Enterprise features moat	●●
Antitrust action	20%	Very High	Proactive compliance	●●●
Capex ROI miss	25%	High	Phased investment discipline	●●
Valuation compression	25%	High	Growth execution + buybacks	●●

Overall Risk Profile: MODERATE

No single risk combines high probability with high impact. The most material risk (antitrust) has low probability but extreme impact. At current prices, valuation risk is the primary near-term concern — the stock needs multiple assumptions to hold simultaneously to justify \$460.

Short-Term & Long-Term Outlook

Short-Term (6-18 Months)

Range: \$400–\$500

- Q4 FY2026 earnings key catalyst for Azure growth confirmation
- Enterprise Copilot adoption data in H2 2026 validates/challenges AI thesis
- \$25B buyback provides modest price support
- Near-term risk: tech multiple contraction in broader market
- Accumulate below \$380 where risk-reward improves significantly

Long-Term (3-5 Years)

Fair Value Range: \$350–\$550

- Cloud market → \$1.5T by 2030; MDH targeting 25-28% share
- AI could reach \$100B+ rev by FY2030 (~22% of total)
- EBIT margins expanding toward 50% on scale economics
- FCF of \$170B+ annually by FY2030
- 10-14% annualized return from fair value entry point

Key Catalysts: Enterprise Copilot adoption | Azure growth trajectory | FTC milestones | Capex ROI | Cloud market share

Investment Conclusion

RECOMMENDATION

HOLD

Accumulate on Weakness Below \$380

DCF Fair Value: \$364 | Current: \$460

- ▶ Conservative DCF produces \$364 fair value — stock trades at 26% premium to intrinsic value
- ▶ Exceptional business quality: 45% EBIT margins, 400M users, #2 cloud, first-mover AI
- ▶ Premium is not unreasonable but leaves thin margin of safety for new capital at \$460
- ▶ Existing holders: HOLD through volatility — buybacks and FCF generation support the position
- ▶ New capital: accumulate below \$380 (5% above base DCF) for asymmetric risk-reward
- ▶ Position sizing: 3-5% at current prices, increase to 5-8% on weakness below \$380

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